



KT

"The Value Networking Company"

UBS Warburg

Asia – Pacific Tele & Tec Conference

October, 2002

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Discussion Agenda

I. Management's Initiatives for Shareholders

II. Operational Aspects

Enhancing Corporate Governance

Strengthen Independence of Board of Directors

- Increase outside directors from 7 to 9
- Appoint a foreign outside director

Maintain Professional & Responsible Management

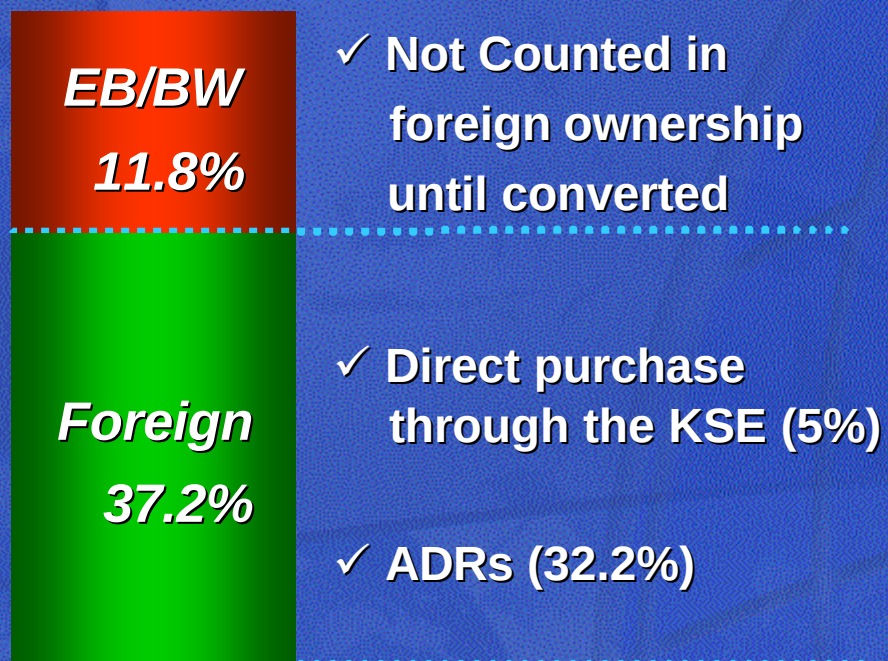
- Maintain Transparent CEO nomination process
- Maintain Performance based incentive system

Protection of Minority Shareholders' Value

- Adopt Cumulative voting right
- Increase effective foreign ownership limit
- Scrap introduction of convertible preferred shares

Continuing to Deliver Commitment to Shareholders

Reclassifying Foreign Ownership

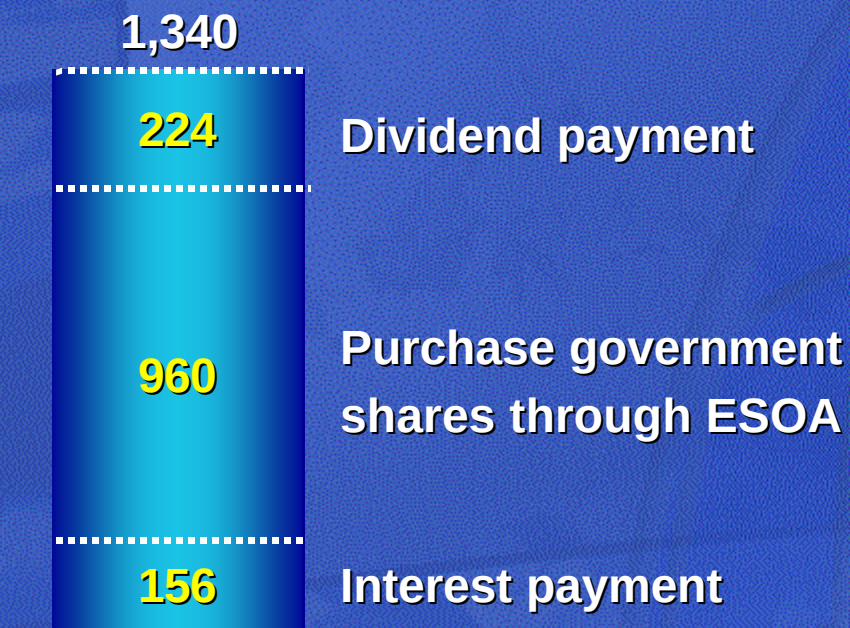


**Share Buyback
&
Cancellation**

Appropriate Usage of Free Cash Flows

Operational Free Cash Flows*

(Unconsolidated, KRW Billion)



1H. 2002

Usage of FCF

Share Buyback & Cancellation

Increase Dividend

Interest Payment

Payment of Debt

* Net Operating Profit less Adjusted Tax + D&A - CAPEX - Changes of Working Capital

Key Remaining Issues

Dealing with SKT Issue

- SKT holds 9.6% of KT shares
- Creating Anti-trust issue
- Impede to dispose non-core assets (SKT shares)



Equity Swap

KTF & KT ICOM Merger

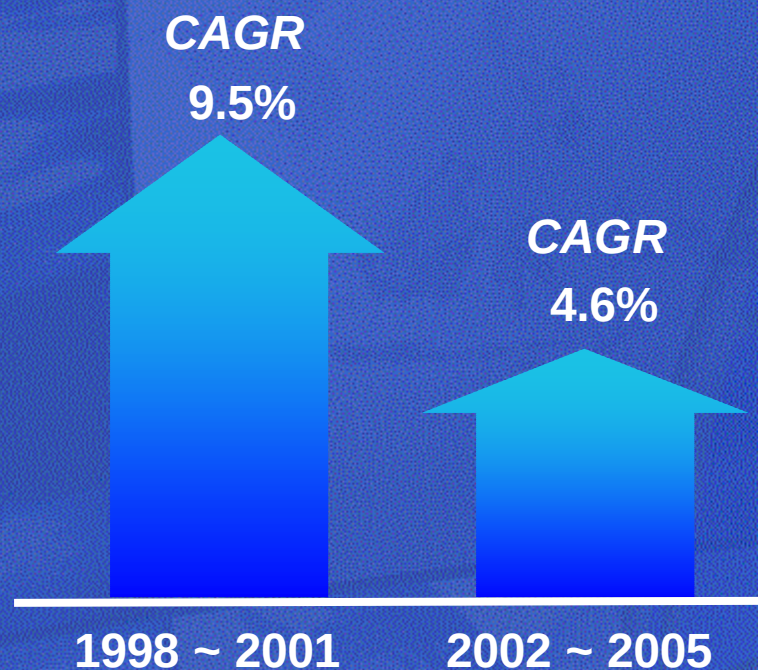
- **Merger Committee** to minimize the dilution impact to protect shareholders' value
- **Fixed-Wireless Integration Coordination Committee** to make optimal CAPEX decision



4Q. 2002 or 1Q. 2003

New CEO Business Target

Domestic Fixed-Line Market Growth Forecast



Tenure Goal by EGM

**Revenue
Target**

KRW 14.8 trillion

**Operating
Income
over
Assets**

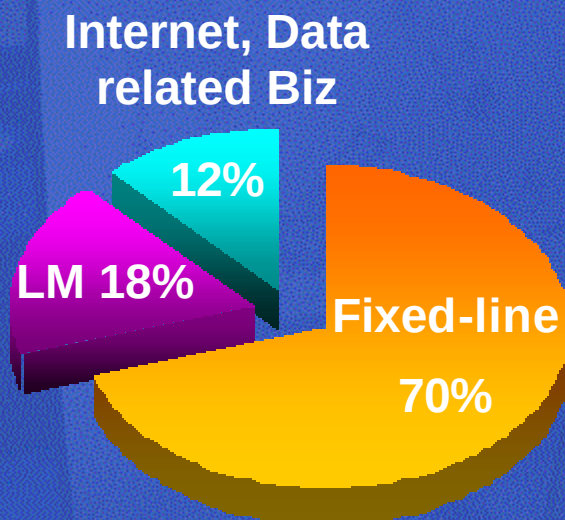
12 %

- Source: KISDI
(Korea Information Society Development Institute)

Continuous Growth through Core Business

1998 Total Revenue

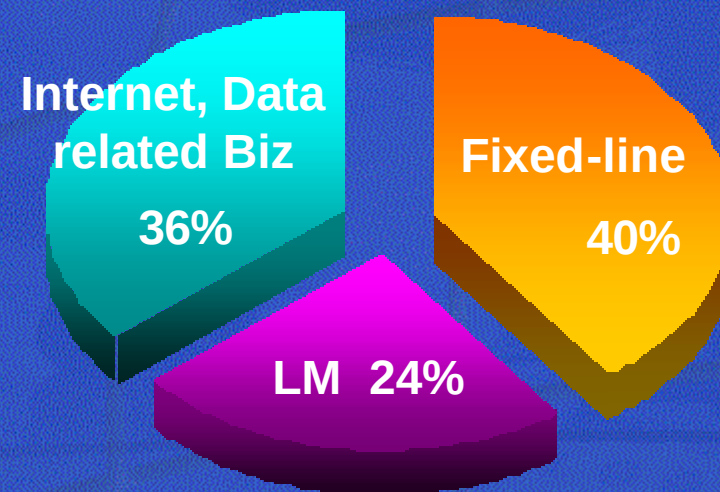
(Unconsolidated)



Total : KRW **8.7** trillion

2001 Total Revenue

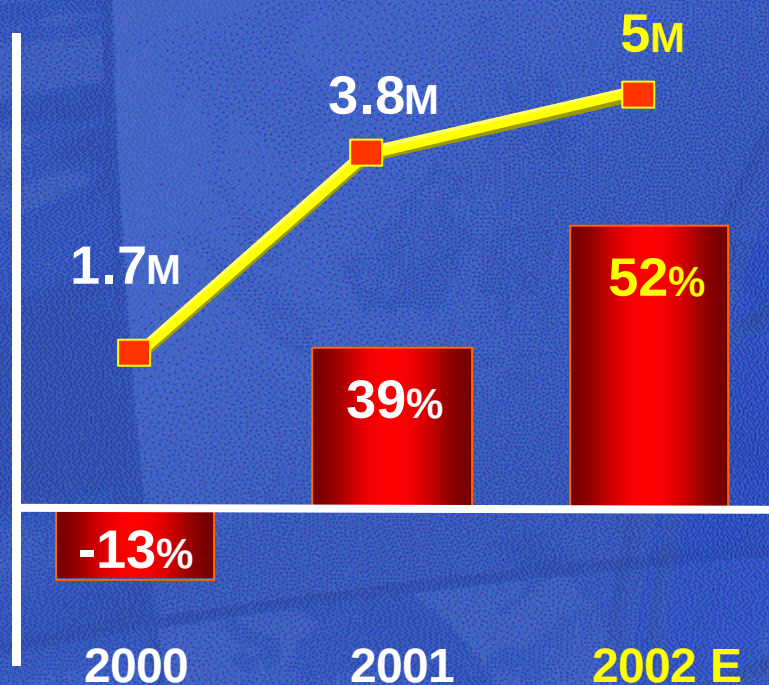
(Unconsolidated)



Total : KRW **11.5** trillion

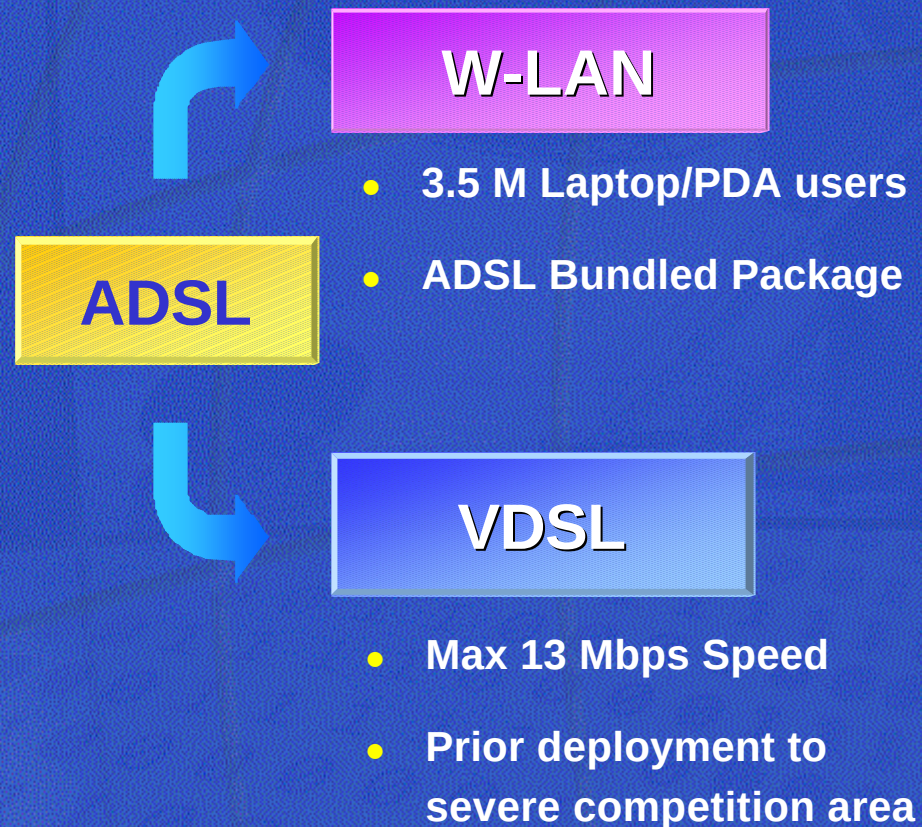
Future Growth Driver : Broadband

EBITDA Margin



Number of Subscribers

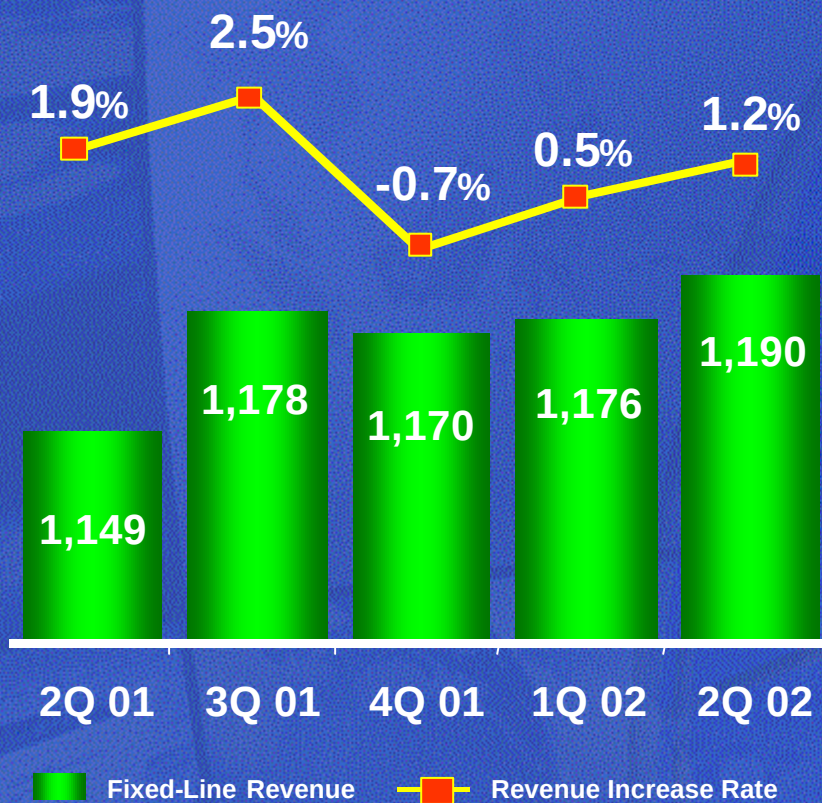
Subscriber Expansion



Stabilizing Fixed-Line Revenue

Revenue

(KRW Billion)



Reasons

• Tariff Rebalancing

- ✓ Optional Flat Rate Plan (Sep 02)
- ✓ Local Tariff Rebalancing (Apr 01)
- ✓ DLD Tariff Rebalancing (Nov 01)

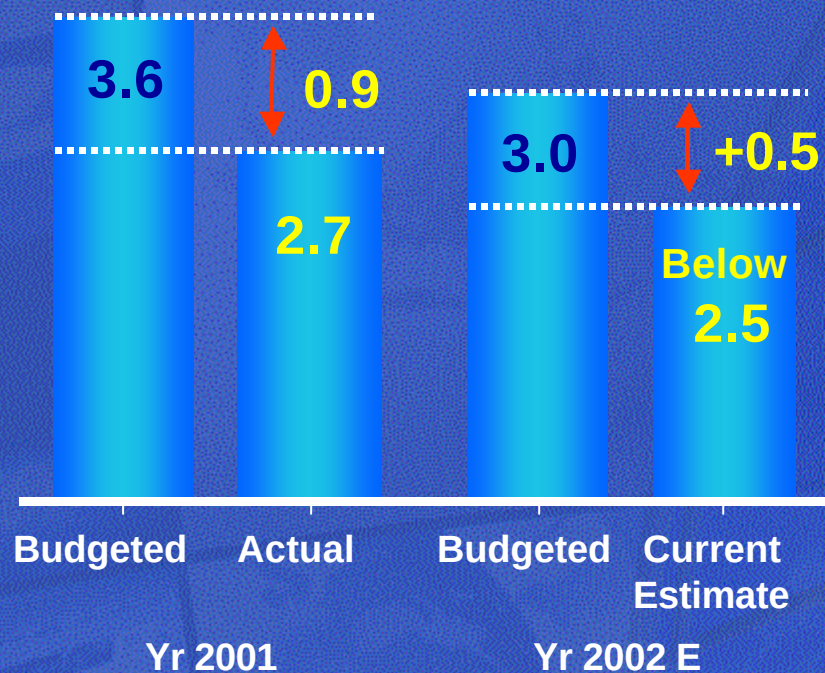
• Value Added Service

- ✓ 700 Info service, Caller ID, Call Forwarding service, etc

Efficient CAPEX Control to Increase Profitability

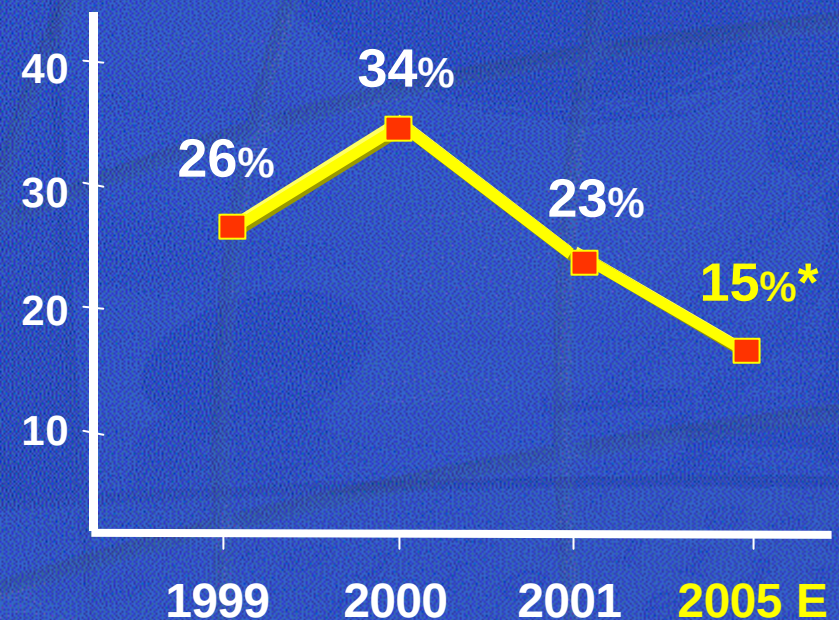
Tight CAPEX Control

(Unconsolidated, KRW trillion)



CAPEX / Revenue Ratio

(Unconsolidated)



New Management Paradigm

*Enhancing
Corporate Governance*

*More Profit -Oriented
Management*

***Maximization of
Shareholders' Value***

*Continuing to Deliver
Commitment to shareholders*

*Appropriate Usage of
Free Cash Flows*

The background is a blue-tinted collage. It features a grid of squares, some containing binary code (0s and 1s), and others showing abstract patterns or faint images of people. The overall aesthetic is digital and network-oriented.

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Thank you